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Why and How to Model a Non-profit on the Lean Canvas

I often get asked if one can or should model a non-profit using a Lean Canvas. The answer is a resounding yes. A nonprofit is essentially a multisided model of users (beneficiaries) and customers (donors). The main difference, from a modeling perspective, between a non-profit and a for-profit is that the former reinvests all its profit towards impact. Impact is the derivative currency that connects the two sides and drives the model. Matthew Pattinson, Empowered Startups, advocates using the entrepreneurial method to foster sustainability and social innovation. He put together the following how-to guest post demystifying the process.



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We as change-makers tend to focus on the social or environmental problem that we seek to address and don't fully consider who is our donor, what problems are we are solving for them, and why will they donate money to our organizations. The lean canvas makes defining how we create value for the donor explicit.

Several variations of the lean and business model canvases are now floating around for non-profits and social ventures. However, the lean canvas is still the best way for a non-profit to understand and communicate its model.

A business model is a story about how an organization creates, delivers, and captures value.

SAUL KAPLAN

If you are not yet familiar with the lean canvas, I recommend referring to Ash Maurya's post [Why Lean Canvas vs Business Model Canvas?](#) and Steve Mullen's [An Introduction to Lean Canvas](#). In this post, I will cover when it is beneficial for a non-profit to use a canvas, why the lean canvas is the best option, and how to model a non-profit.

When to use a canvas?

Canvases are useful during an organization's launch, transition periods, and strategic

discussions.

Founding a new non-profit or launching a new program

Every idea for a new organization or program is based on initial assumptions. A canvas articulates these assumptions quickly and clearly, so you can easily compare organizational or program models by creating multiple canvases.

You can then use these canvases as a starting point to validate assumptions about your beneficiaries and donors by soliciting feedback from stakeholders. This results in more effective programs and fundraising campaigns.

When applying for funding from foundations or the government, you may go through an onerous proposal writing process that carries no guarantees for funding. The more you can demonstrate results from your programs by running small tests on the critical assumptions in your proposal, the more likely you will be to secure funding. I recommend using the lean canvas to outline and test the assumptions in your program or organization before you begin to write funding proposals.

Improving strategic alignment in an organization

A canvas is a blueprint for how the organization creates and delivers value for its beneficiaries and donors. It is a useful



communication tool to concretely and demonstrate your organization's strategy so everyone can understand their role in creating and delivering value.

Non-profits are also at risk of mission creep: expanding the mission beyond the originally set goals. This can hurt the organization's ability to achieve its original mission. It can also create gaps in organizational capabilities if the team does not have the training and resources needed to carry out the added responsibilities of an expanded mission.

Canvases can prevent scope creep by ensuring better communication and strategic alignment in your organization.

Communicating new strategic opportunities and innovation

Because canvases make it easy to share ideas and solicit feedback, they can quickly communicate current and potential strategies during strategic planning sessions. They can also be used as a required template for new program ideas to help leadership compare and test new ways to serve beneficiaries and donors.

Why the lean canvas?

Problem-focused

We, as change-makers, tend to focus on the social or environmental problem we seek to address and not fully consider who our donors are, what problems we are solving for them, and why they will donate money to our



organizations. The lean canvas makes defining how we create value for the donor explicit.

In addition to ensuring that problems are explicit, the lean canvas visually constrains the size of the solution on the canvas.

Solutions flow from an understanding of the problem. Overemphasis on the solution can lead to a non-profit implementing an ineffective strategy in achieving its purpose.

For example, a lot of collective will has recently been used to ban straws to keep plastics out of the ocean. Although admirable and a step in the right direction, research on the sources of the plastics indicate that this will have almost no effect on the amount of plastics in the ocean.

Actionable

The key for any organization is to create value and be financially sustainable before it runs out of resources (e.g., time and money).

A founder must focus on the few metrics that matter and ignore the many that don't. In non-profits, the founder should focus on a metric to show it is gaining support from donors and a metric of whether it is having an impact in support of its mission. The lean canvas clearly defines what are these key short-term metrics. For beneficiaries, logic models and theories of change are still part of understanding and defining the long-term outcomes and should be used alongside the lean canvas.

Highlights the connection between money and mission

In non-profits, there is a distinction between who value is created for (i.e., beneficiaries) and how it is funded (i.e., grants, donations, government budget). The lean canvas highlights the connection between these two distinct groups in one model.

Steps to modeling your non-profit

To complement this post, I also recommend reading Ash Maurya's ["Facebook Lean Canvas: How to Model a Multi-sided Business"](#) to see how something seemingly intangible as attention can be converted into revenue. This is what non-profits do every day; convert something as seemingly intangible as impact into fundraising dollars. Although in a non-profit financial resources are put into creating a positive impact rather than paid out as profits.

1) Model your beneficiaries first

It is why you exist and what you are passionate about. Organizations that demonstrably serve their beneficiaries clearly and effectively have an easier time fundraising. Assuming World Vision was starting today, here is what its lean canvas would look like for beneficiaries:



PROBLEM Suffer from hunger and disease Lack access to basic education Lack sufficient care and protection EXISTING ALTERNATIVES International development organizations	SOLUTION Community development programs KEY METRICS Grade 12 completion rate Mid-Upper Arm Circumference by age	UNIQUE VALUE PROPOSITION Support for those in need HIGH-LEVEL CONCEPT Relief and missionary work	UNFAIR ADVANTAGE CHANNELS Regional offices	CUSTOMER SEGMENTS Orphans and other children in need EARLY ADOPTERS Fragile State Index score above 70
COST STRUCTURE Programs: \$x Fundraising: \$y Admin: \$z		REVENUE STREAMS Derivative asset: Progress reports and photos		

Lean Canvas is adapted from The Business Model Canvas (BusinessModelGeneration.com) and is licensed under the Creative Commons Attribution-Share Alike 3.0 Unported License.

After building your organizational model on the lean canvas, the beneficiary side is also where you start with validating your model.

2) Model your donors second

Now model the canvas from the perspective of those providing funding for your non-profit. Here is what World Vision’s canvas might look like including the perspective of donors:

PROBLEM Suffer from hunger and disease #beneficiaries Lack access to basic education #beneficiaries Lack sufficient care and protection #beneficiaries Want to feel a connection to their contribution #donors Want trust their funds are being used wisely #donors EXISTING ALTERNATIVES International development organizations Oxfam #donors Compassion International #donors	SOLUTION Community development programs Can write letters to child #donors Receive updates about child's progress #donors KEY METRICS Grade 12 completion rate #beneficiaries Mid-Upper Arm Circumference by age #beneficiaries Donations #donors	UNIQUE VALUE PROPOSITION Support for those in need #beneficiaries Change a child's life and community for good by sponsoring a child #donors HIGH-LEVEL CONCEPT Relief and missionary work #beneficiaries Child sponsorship #donors	UNFAIR ADVANTAGE Celebrity endorsements CHANNELS Regional offices #beneficiaries TV (infomercials) #donors Advocacy events #donors Social and search ads #donors	CUSTOMER SEGMENTS Orphans and other children in need #beneficiaries Mothers #donors EARLY ADOPTERS Fragile State Index score above 70 #beneficiaries Christians #donors Aged 35-55 #donors
COST STRUCTURE Programs: \$x Fundraising: \$y Admin: \$z		REVENUE STREAMS Derivative asset: Progress reports and photos #beneficiaries Donations: \$39 per month per child #donors Donor lifetime value: ARPU * 15-year lifetime = \$7,020		

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Tips on modeling non-profits

Define the organization’s mission in the problem section

The social or environmental challenges can be defined under the problem section of the lean canvas and then matched with who experiences those problems on the customer segments side. They go side by side with the problems of those providing the financial resources for the venture (e.g., donors and customers). In the World Vision example, the organization seeks to address hunger and education among orphans and children.

Beneficiaries are one side of a multi-sided business model

On the lean canvas, beneficiaries go under the customer segment section as those stakeholders experiencing the social or environmental challenges the organization will serve as part of its mission. For example, World Vision seeks to create change for orphans and other needy children in countries with a Fragile State Index above 70.

Only highlight short-term indicators in key metrics

In non-profits, measuring the economic indicators of how the venture is performing is not sufficient. I put the output or short-term measures of how the organization measures its mission success under the key metrics section.

Non-profits typically also measure longer-term outcomes (1–6 years) and impacts (7–10 years). I recommend keeping these off canvases as the lean methodology emphasizes

actionable, accessible, and auditable metrics. The longer the time horizon, the less actionable and auditable they are due to other external influences that enter over a longer time horizon. However, they are key in measuring performance relative to the mission so keep them as part of your organization's logic model or theory of change.

Highlight only critical partners in solution or channels

Non-profits tend to use partnerships earlier and more frequently than business startups. I would refrain from putting any partnerships on the canvas at the start, however, if they are critical to your model, as, in cases of using partners to reach remote beneficiaries, I would place them under channels or where they are part of an alliance in service delivery, they can go under solution.

Cost structure and budget are interchangeable.

Government programs and non-profits operate under a defined budget. The total budget goes as a line under the cost section. It can also include a high-level breakdown of the costs.

Include any cost recovery done as a revenue stream



In that, your non-profit operates with a cost recovery program, including that revenue section of the canvas.

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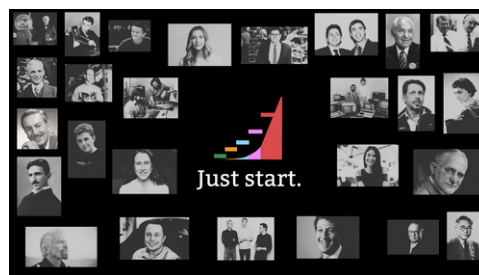


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